

Meridian Actuarial Advisors LLC

www.meridianactuarial.com

April 7, 2016

Elizabeth Horne
Director of Operations
Howard and Sons

Dear Ms. Horne:

This letter sets out the terms on which we will carry out the actuarial valuation of the pension plan sponsored by Howard and Sons, and it asks for your signature so the work can begin. It follows our conversation this spring. We have put in writing what we will do, who will do it, and the basis on which we will do it, so that there is a shared record to return to as the engagement runs its course.

The Work We Are Engaged To Do

We will perform a full actuarial valuation of the plan as of its valuation date, measuring the plan's liabilities and its funded position and setting out the funding that follows from them. The work will be performed under the Actuarial Standards of Practice that apply to a valuation of this kind. We keep three things apart in everything we deliver: what the data show, what we have assumed, and what we conclude. You should be able to read a result and see which of the three it rests on.

The report itself is organized the same way we think. What the data show comes first, on its own. The assumptions and methods come next, stated so that a reader can see each one and weigh it. Our conclusions come last, and they rest visibly on the two sections above them. Nothing in the report asks you to take a judgment on faith.

The engagement has four parts, and the report will document each of them:

- The participant census and asset information that you provide, which we reconcile and rely upon, with that reliance stated plainly in the report.
- The plan provisions as set out in the current plan document, valued as they are written.
- The actuarial assumptions and methods, which we set out on their own so they are never confused with the measured results.

- A written report and a workbook of supporting exhibits, which together let a reader trace every number to its source.

Our Reliance on Your Data

A valuation is only as sound as the records it is built on. We will rely on the census and asset data your office provides, and we will reconcile it before we use it. Where a record is unclear, we will come back to you rather than guess. We do not audit the data, and we say so in the report; what we do is check it for internal consistency and against the prior year, and document what we relied on.

The People on the Engagement

Jennifer Vasquez, a consulting actuary in our firm, will lead the engagement day to day and will be your point of contact for the questions that come up as we go. David Sherman, a senior analyst, will build and reconcile the valuation workbook and document the data we rely on. Jeffrey Ochoa, an actuarial analyst, will carry the modeling and chase down anything in the results that needs explaining. I will review the work and sign the actuarial opinion. The professional responsibility for what we conclude is mine.

When the Work Begins

Subject to your signature on this letter, we will begin the work on April 17, 2016. Our first step is to request the census and asset records and to confirm the plan provisions we are to value. We will keep you informed of where the work stands, and we will not let a question sit quietly on our side when a short note to you would settle it.

Fees and Payment

Our fee for the engagement, and the basis on which it is set, are stated on the signature page, which counsel for each side has executed separately; they are not repeated here. We invoice monthly for the prior month's work, and each invoice is due within thirty days of its date. If a question about an invoice arises, tell us and we will work it through before it becomes a dispute.

Term and Ending the Engagement

This agreement takes effect on the date you sign below and continues until we deliver the valuation and you have paid our final invoice for it. Either of us may end it earlier on written notice to the other. If the engagement ends before the valuation

is complete, you will owe us for the work done up to that point, and we will hand over what we have in a usable form.

Confidentiality

We will hold what you give us in confidence and use it only for this engagement. Within the firm, access is limited to the people named above and to those whose work on the valuation requires it. We will not disclose your information outside the firm without your consent, except where the law or our professional standards require it, and in that event we will tell you unless we are barred from doing so.

The Limit of Our Liability

Our liability to you arising out of this engagement, whether framed in contract or in negligence, will not exceed the total fees you pay us under it, except in the case of our fraud or willful misconduct. Neither of us will be liable to the other for indirect or consequential loss. Any claim must be brought within one year of the delivery of the report.

Governing Law

This agreement is governed by the law of the state in which our office sits, without regard to its conflict-of-laws rules. Before either of us begins a proceeding, we will try to resolve the matter through discussion between people with authority to settle it.

If these terms match your understanding, please sign both copies where shown, keep one for your records, and return the other to me. If anything here does not read the way you expected, call me before you sign and we will settle it. We are glad to be doing this work for you, and we will give it the care it deserves.

Sincerely,

Fixed professional fee, as executed: \$30,500

Robert Lawrence

Managing Actuary

Date: April 7, 2016

Elizabeth Horne

Director of Operations, Howard and Sons

Date: April 7, 2016